

MEMORANDUM: POLICY EXCEPTION APPROVAL

Global Transfer Pricing Compliance & Corporate Tax Governance

Exception ID:	EXP-2026-08	Approval Date:	2026-03-19
Entity ID:	ENT-IN-02	Effective Period:	2026-03
Entity Name:	Maximor India Engineering Pvt Ltd	Approval Type:	PERMANENT_EXCLUSION
Approver:	VP Corporate Tax	Reason Code:	RESTRUCTURING_SEVERANCE
GL Accounts:	6120, 6900	Approved Amount:	\$80,000.00 USD

1. Summary of Policy Exception

Executive severance settlement arising from the March 2026 leadership restructuring is excluded from the cost-plus service fee base for the duration of the 2026 agreement. This exclusion is permanent and is not to be recovered through any subsequent true-up.

2. Tax & Legal Determination

Under the terms of the Global Engineering Cost-Plus Services Agreement (TP-POL-2026-ENG) and Intercompany Contract ICC-US-IN-001, one-off executive severance payments incurred in connection with corporate reorganization do not constitute routine operating costs attributable to technical services rendered to Maximor Inc USA. Inclusion in the markup base would result in improper profit extraction and arm's-length distortion.

3. Document Precedence & Accounting Instruction

Per TP-POL-2026-ENG document precedence rules, this approved policy exception memo outranks standard GL account mappings. The local billing engine and intercompany recharge process shall exclude the approved \$80,000.00 USD severance cost posted to GL Account 6120 from the monthly invoice base. No subsequent recharge or true-up shall be posted for this amount.

Approved By:

Signature: VP Corporate Tax

Status: ACTIVE / BINDING

Recorded: Global Tax Archive